

duction. The analyst would have to allow for these developments in his calculations, by taking a cautious view of future copper prices—at least as compared with the prewar or the predepression average.⁶

Anomalous Prices and Price Relationships in the History of the I.R.T. System. The checkered history of the Interborough Rapid Transit System in New York City has presented a great variety of divergences between market prices and the real or relative values ascertainable by analysis. Two of these discrepancies turn upon the fact that *for specific reasons* the then current and past earnings should not have been accepted as indicative of future earning power. In abbreviated form the details of these two situations are as follows:

For a number of years prior to 1918 the Interborough Rapid Transit Company was very prosperous. In the 12 months ended June 30, 1917, it earned \$26 per share on its capital stock and paid dividends of \$20 per share. Nearly all of this stock was owned by Interborough Consolidated Corporation, a holding concern (previously called Interborough-Metropolitan Corporation) which in turn had outstanding collateral trust bonds, 6% preferred stock and common stock. Including its share of the undistributed earnings of the operating company it earned about \$11.50 per share on its preferred stock and about \$2.50 on the common. The preferred sold in the market at 60, and the common at 10. These issues were actively traded in, and they were highly recommended to the public by various financial agencies which stressed the phenomenal growth of the subway traffic.

A modicum of analysis would have shown that the real picture was entirely different from what appeared on the surface. New rapid transit facilities were being constructed under contract between the City of New York and the Interborough (as well as others under contract between the City and the Brooklyn Rapid Transit Company). As soon as the new lines were placed in operation, which was to be the following year, the earnings available for Interborough were to be limited under this contract to the figure prevailing in 1911–1913, *which was far less than the current profits.*

⁶ On the other hand, the rise in the price of gold in 1933 invalidated *for statistical purposes* previous earnings of gold producers based on \$20.67 gold. Whether or not the future price of gold will remain at \$35 is anyone's guess, but there seems no reason to make any calculations based on the old value.